Travel & Expense Policy

Kestrel Components Pvt Ltd — Version 3.2

Effective 1 April 2025

Document owner: Group Finance · **Approved by:** Chief Financial Officer **Applies to:** All employees and contract staff of Kestrel Components Pvt Ltd (fictional company, synthetic document)

1. Purpose

This policy sets out how employees may incur and claim business travel and expense costs. It exists to make sure that money spent on behalf of the company is reasonable, necessary for business, properly evidenced and approved. Employees are expected to spend company money as carefully as they would spend their own.

2. Scope

The policy covers domestic and international business travel, local conveyance, meals, lodging, client entertainment and cash advances. Relocation, training fees and capital purchases are covered by separate policies.

3. General principles

3.1 All expenses must be claimed through the company’s expense management system. Paper claims are not accepted.

3.2 Expense reports must be submitted **within 30 days** of the end of the trip or the date the expense was incurred. Claims submitted later require written justification and may be rejected.

3.3 Each expense line must be claimed once only. Splitting a single expense across several lines or reports to avoid a limit or approval step is a disciplinary matter.

3.4 Where this policy sets a limit, the limit is a maximum, not an allowance. Employees should spend less wherever possible.

4. Receipts and evidence

4.1 An **itemised receipt or tax invoice is mandatory for every expense line above INR 500**. A card statement or payment confirmation is not a substitute for an itemised receipt.

4.2 Where the vendor is GST-registered, the invoice must show the company’s GSTIN so that input tax credit can be claimed.

4.3 Lost receipts must be declared using the missing-receipt affidavit in the expense system. More than three missing-receipt affidavits in a financial year will be reported to the employee’s line manager.

5. Meals

5.1 **Domestic travel:** meals are reimbursed at actual cost up to a maximum of **INR 2,500 per person per day**.

5.2 **International travel:** meals are reimbursed at actual cost up to a maximum of **USD 75 per person per day**, or the local-currency equivalent.

5.3 Alcohol is **not reimbursable** under any circumstances, including during client entertainment.

5.4 Meals already provided by a conference, airline or hotel package may not be claimed again.

6. Lodging

6.1 Employees should book through the company’s travel desk or preferred hotel programme wherever available.

6.2 The maximum nightly room rate (excluding taxes) is:

City category	Maximum per night
Metro cities (Mumbai, Delhi NCR, Bengaluru, Chennai, Hyderabad, Kolkata, Pune)	**INR 8,000**
All other cities	**INR 5,000**

6.3 Stays above these limits require prior written approval from the employee's Vice President, attached to the expense report.

7. Air and rail travel

7.1 Air travel must be booked in **economy class for any flight shorter than 6 hours**. Business class for longer flights requires Vice President approval.

7.2 Rail travel may be booked in AC 2-tier or equivalent.

8. Local conveyance and personal vehicles

8.1 Employees using their personal car for business travel are reimbursed at **INR 12 per kilometre**. The start point, end point and business purpose must be recorded for each journey.

8.2 Parking and toll charges are reimbursable with receipts.

9. Client entertainment

9.1 Client entertainment must have a clear business purpose. The names, organisations and designations of all attendees must be recorded on the expense line.

9.2 All client entertainment must comply with the company's Anti-Bribery and Corruption Policy. Employees must not offer anything of value intended to improperly influence a business decision.

10. Cash advances

10.1 A cash advance of up to **INR 25,000 per trip** may be requested where corporate card use is not possible. Advances must be settled in the expense report for that trip.

11. Approvals

11.1 Every expense report must be approved by the employee's **line manager**.

11.2 Any expense report with a **total above INR 50,000** requires a **second approval by the Finance Controller** before payment.

11.3 Approvers must not approve their own expenses or expenses of anyone who approves theirs.

12. Audit and compliance

12.1 Group Finance performs automated and random audits on submitted claims. Claims found to breach this policy will be rejected or recovered from salary.

12.2 Deliberate misrepresentation of expenses is treated as misconduct.

13. Version history

Version	Effective date	Change
3.0	1 July 2019	Policy launched with move to the new expense system
3.1	1 April 2023	Personal car mileage rate revised to INR 12 per km

3.2	1 April 2025	Metro hotel cap reduced from INR 10,000 to INR 8,000 per night as part of cost-optimisation programme